



Time: 5 minutes

Outcome: Calculate consumption, investment, government purchases, and net exports.

Difficulty: Intermediate

GDP Components

THE CORE IDEA

The expenditure approach divides GDP into consumption, investment, government purchases, and net exports. Consumption covers household purchases of final goods and services; investment includes business capital, residential construction, and inventory changes; government purchases pay for current goods and services. Net exports add exports and subtract imports so GDP counts only domestic production, while transfer payments themselves are excluded. A recipient's later purchase is counted separately if it pays for current domestic output.

HOW TO RECOGNIZE IT

- Classify final spending as consumption, investment, government purchases, or net exports.
- Count newly produced capital goods and inventory changes as investment.
- Exclude transfer payments because they are not payments for current production.
- Subtract imports within net exports so foreign production is not counted in domestic GDP.

WATCH OUT

A common mistake is to count transfer payments as government purchases. Transfers redistribute income and are never themselves part of GDP. A later purchase is classified by what is bought; imports are subtracted in NX.

WORKED EXAMPLE: CLASSIFYING GDP EXPENDITURES

A business buys a newly produced domestic machine for \$2 million; this is investment. Government pays contractors \$80 million to repair roads; this is government purchases. An \$80 million benefit payment is a transfer and is not counted when sent, though any later household purchase of final goods enters consumption. The expenditure identity classifies the counted spending as $C + I + G + NX$. These purchases contribute \$2 million to I and \$80 million to G, or \$82 million directly to GDP; the transfer is not an additional government purchase.

CHECK YOURSELF

Does a government benefit payment enter G when it is sent?